UK Finance

UK Payment Markets 2026

Foreword

The UK payment markets are entering a new phase of their evolution. Following several years of rapid change, the latest data suggests that many of the trends that have shaped the way consumers pay are beginning to mature. This provides an important opportunity to reflect on how consumers are using today's payment methods whilst looking ahead to the next wave of transformation and innovation that will unlock new growth opportunities.

Within almost 50 billion payments made during 2025, debit cards remained the UK's most frequently used payment method. However, after years of sustained growth, debit card use appears to be reaching a natural plateau as consumer adoption matures. Contactless payments continue to be an integral part of everyday life, although growth has also begun to moderate as usage approaches saturation across much of the population. At the same time, account-to-account payments, such as Faster Payments, continue to grow strongly, demonstrating the increasing importance of choice and innovation to support the UK's economy.

Although cash remains important, its long-term decline has continued, the pace of change has slowed, suggesting that many consumers who prefer to use cash continue to value it for certain types of transactions. Maintaining appropriate access to cash therefore remains an important priority, ensuring that consumers retain choice and that no one is left behind as payment preferences continue to evolve.

Alongside these established trends, the payments industry is preparing for its next period of transformation with significant investment underway to modernise the UK's retail payments infrastructure. New technologies and payment models, including digital wallets and digital forms of money such as tokenised deposits and regulated stablecoins, have the potential to expand consumer choice and enable new payment experiences. As these capabilities develop, they are likely to influence not only how consumers pay, but also will drive adoption and renew growth in payments going forward.

Continued close engagement between government, regulators and industry will be essential to unlock pace and change, and provide the clarity and certainty needed to unlock investment that will ensure the UK retains its position at the forefront of payments.

As ever, this report provides the definitive view of how UK consumers are paying today, while offering valuable insight into the trends that will shape the payments landscape of tomorrow. As the market evolves, UK Finance will continue to work with industry to ensure that our research reflects emerging payment methods and provides the robust evidence needed to inform policy, investment and innovation.

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UK Finance

Payment Market Headlines

49.7 billion payments made in 2025*

2025

- Debit cards were the most used payment method with 26.6 billion payments, accounting for more than half of all payments in the UK
- Contactless debit and credit card payment volumes totalled 19.2 billion
- Cash payments accounted for 3.9 billion payments, or 8% of all payments
- While cash payments decline, cash machines continue to play dominant role in access to cash as 49.3 million people used one in 2025
- Cheque volumes declined by 16% in 2025 and account for only 0.2% of payments made in the UK
- Faster Payments and other remote banking totalled 6.2 billion payments and are the second most used payment method in the UK, only behind debit cards
- 91% of the UK adult population used at least one form of remote banking in 2025, with 75% being mobile banking users
- Bacs Direct Credit volumes declined by 2% to 1.8 billion payments
- Conversely, Direct Debit increased by 2% to 5 billion payments, 10% of all payments
- 12.9 million, or 22% of UK adults used Buy Now Pay Later services at least once in 2025
- The value of CHAPS payments was £93.9 trillion

2035 (projected)

- Debit cards are expected to reach 29.5 billion payments in 2035
- Card payments (debit and credit) forecast to be 65% of all payments in the UK in 2035
- By 2035, contactless payments are expected to be 41% of all payments, accounting for 26 billion payments
- Cash use is expected to continue to decline to account for only 4% of all payments made in the UK in 2035, or 2 billion transactions
- Faster Payments and other remote banking to grow to 8.4 billion payments and to account for 16% of all UK transactions by 2035
- Cheques to continue to decline to account for just 0.05% of overall payments
- Bacs Direct Credit expected to increase slightly to 2.2 billion payments
- Direct Debit forecast to see moderate growth and reach 5.4 billion payments in 2035

64%
In 2025 card payments accounted for 64% of all payments in the UK

16%
Faster Payments expected to see fastest growth and to account for 16% of all transactions by 2035

*excluding CHAPS

01 Summary: Total UK payments in 2025 and forecasts to 2035

The UK payments landscape continued to evolve in 2025, shaped by technological innovation, changing consumer and business behaviour, and the growing role of remote banking, account-to-account payments and mobile payments.

Total payment volumes reached 49.7 billion payments, excluding CHAPS, as the market moved beyond the disruption of recent years and settled into a period of more measured growth. The National Payments Vision, developments in Open Banking, and wider innovation in digital payments are expected to remain important developments over the coming years.

In 2025, the modest increase in total payment transactions (2%) creates the illusion of a market returning to the slow and steady growth observed in the pre-2020 period. However, beyond the headline number, payment markets are experiencing significant change.

Debit cards remained the dominant payment method in the UK in 2025, with 26.6 billion payments and more than half of all transactions. Card payments overall accounted for 64% of payments, supported by widespread acceptance, the continued importance of contactless payments, and the growth of mobile wallets. Contactless debit and credit card payments totalled 19.2 billion in 2025, but growth has slowed compared with the previous decade as the market has matured.

Online shopping is another area that reached maturity while remaining a highly significant part of the payments landscape. In 2025, online card spending grew by 4% in volume and 1% in value terms, suggesting that consumers made more online purchases but were more cautious on spending, with average transaction values continuing to edge down. Around 45.9 million people, or 80% of UK adults, bought goods or services online in 2025, with usage highest among working-age adults and higher-income groups.

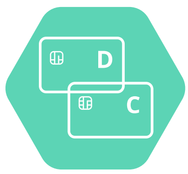
Many online shops offer services such as Apple Pay and Google Pay at the online checkout, allowing shoppers to check out with only one click rather than entering payment and billing/deliver details in a series of steps. The convenience of this innovation appears to be attracting significant numbers of online shoppers. Cards remain the main way people pay online, directly or through mobile wallets, but the market is diverse as Buy Now Pay Later, PayPal, and emerging Pay by Bank options give consumers choice. Future growth may be shaped by account-to-account payments, especially if Variable Recurrent Payments (VRPs) are introduced, as well as new AI-enabled shopping experiences.

Faster Payments and other remote banking were one of the clearest areas of growth, reaching 6.2 billion payments in 2025 and becoming the second most used payment method in the UK, behind only debit cards. Remote banking is now mainstream as 91% of UK adults used at least one form of remote banking in 2025, and 75% used mobile banking. Consumers increasingly use mobile and online banking for bill payments, transfers and person-to-person transfers, while businesses continue to rely heavily on Faster Payments for account-to-account transfers.

Cash continued its long-term decline, falling to 3.9 billion payments in 2025 and accounting for 8% of all payments. Although cash is no longer the second most used payment method, as it used to be for most this century, due to now representing less transactions than Direct Debit, Faster Payments, and credit cards, it remains important for some consumers and in some circumstances, particularly for budgeting, accessibility and personal preference. Cash machines also remain central to access to cash, with 49.3 million people using one in 2025, even as the number of payments made in cash continues to fall.

Other established payment methods showed more gradual change. Direct Debit increased by 2% to 5 billion payments in 2025 and remains central to regular household bills and commitments. Bacs Direct Credit declined by 2% to 1.8 billion payments, reflecting the longer-term shift in business payments towards Faster Payments. Cheque use continued to fall, declining by 16% and accounting for only 0.2% of payments, while CHAPS remained low in volume but very high in value, with £93.9 trillion processed in 2025.

Looking ahead to 2035, the UK payments market is expected to continue growing while becoming more digital. Debit cards are forecast to reach 29.5 billion payments by 2035, while card payments overall are expected to account for 65% of all UK payments. Contactless payments are projected to account for 26 billion transactions, or 41% of all payments, by 2035. Cash is expected to decline further to around 2 billion payments, or 4% of the market, but not disappear. UK Finance will continue to monitor and analyse how these developments may affect payment markets in the future.

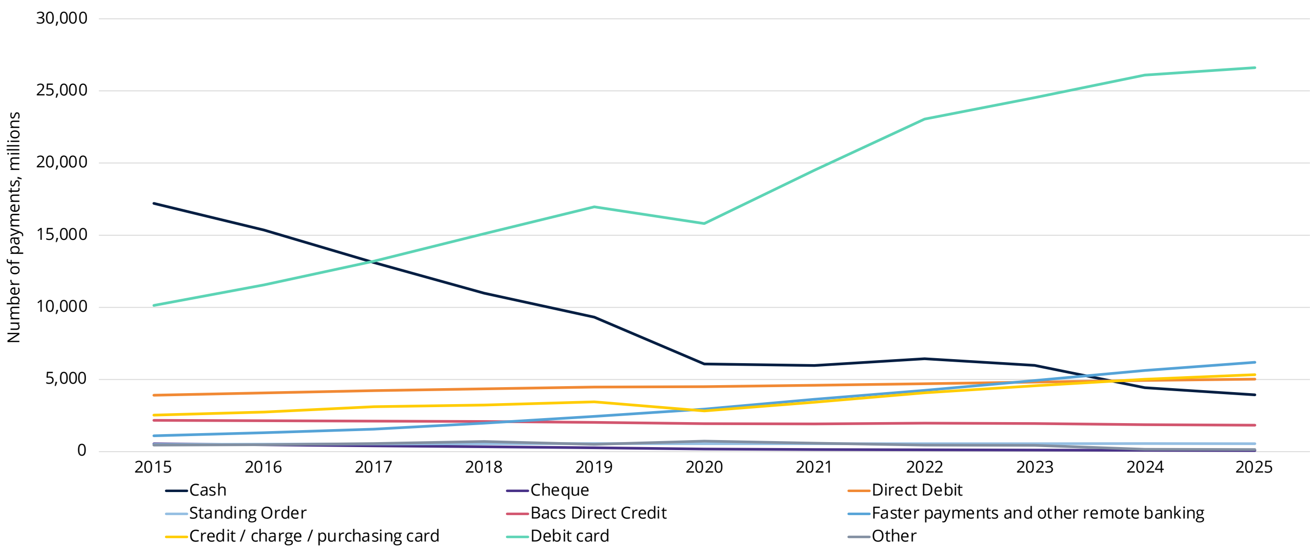


64%

In 2025 64% of all payments in the UK were made using cards

Chart 1.1

Payment volumes (millions), 2015 to 2025



More than 8 in 10 payments made in the UK in 2025 were made by consumers. Spontaneous purchases accounted for 84% of those payments, with the other 16% of their payments being made to pay for regular bills and commitments.

Commercial organisations, government, and not-for-profit organisations (collectively referred to using the shorthand "businesses" throughout this report) were responsible for 16% of payments made in the UK in 2025, totalling around 8.1 billion payments. Payments made by businesses to individuals accounted for 38% of all payments, with the remainder being payments that businesses make to other businesses.

Consumer
41.6 billion payments

Spontaneous
35.0 billion

Regular
6.5 billion

Business
8.1 billion payments

Business to business
5.0 billion

Business to individual
3.1 billion

There are a wide variety of payment methods available in the UK. Each payment method provides specific benefits to the participants in the transaction. Payers generally choose the method that best meets their needs in any given situation, albeit sometimes influenced by the preferences of the payee.

Debit cards

54%

Debit cards accounted for 54% of all payments made in the UK in 2025

In 2025, debit card payment volumes increased by 2% to 26.6 billion payments. Almost all UK adults hold at least one debit card, and most people use them to make payments, as they remain the dominant payment method in the UK, both in the overall payments market and within consumer payments.

In 2025, debit cards were used for 26.6 billion payments, accounting for more than half of all UK payments, while among consumers they represented 63% of payment volumes and 40% of payment value.

The rapid expansion of debit card use over the past decade has been driven by the move away from cash, wider card acceptance, contactless technology, online shopping and mobile wallets. Debit cards have replaced many low-value cash payments, particularly as small businesses and sole traders have become more able and willing to accept cards. Contactless has been especially important: in 2025 there were 16.2 billion contactless debit card payments, and 62% of all consumer debit card payments were contactless. Mobile wallets also reinforce debit card use because most consumers set a debit card as their default payment method.

Growth in debit card payments is now slowing, not because debit cards are losing importance, but because the market has become mature. Looking ahead, debit cards are still expected to grow, reaching 29.5 billion payments by 2035.

Credit cards

56%

56% of adults in the UK have a credit card

There were 5.3 billion payments made using credit cards in 2025, a small increase from the 5 billion payments in 2024. Credit and charge cards accounted for 12% of consumer payment volumes and 14% of consumer payment value, reflecting their role in higher-value purchases. In total, there were 65 million credit and charge cards in issue at the end of 2025, and 56% of UK adults held at least one credit or charge card.

Credit card use is shaped by both convenience and access to credit. Almost six in ten credit card transactions were contactless in 2025, narrowing the gap with debit cards, although the higher average value of credit card purchases has historically limited the share of payments that can be made as contactless transactions due to the £100 cap on physical card payments, now scrapped by the FCA but kept by most issuers.

Credit card holding is strongly linked to socio-economic group: 68% of adults in social grade AB held a credit card, compared with 34% in social grade E. Higher-income consumers are more likely to use credit cards for larger purchases and rewards, while lower-income consumers may use them more to spread costs. Future credit card growth is likely to depend on economic conditions, consumer appetite for unsecured borrowing, competition from Buy Now Pay Later, and the continued development of mobile wallets and contactless payments. In 2035 credit card payment volumes are forecast to reach 5.8 billion payments.

Contactless payments

Percentage of all payments made via contactless cards

3%	27%	39%
2015	**2020**	**2025**

During 2025 the number of contactless payments made in the UK increased to 19.2 billion payments, up from 18.9 billion payments the previous year. This was driven by:

- the continued roll-out of card acceptance devices especially among smaller businesses
- consumers increasingly preferring contactless payments over chip and PIN
- continuing growth in popularity of mobile contactless payment services such as Apple Pay and Google Pay

In this report, we look at combined card and mobile wallet contactless transactions but analyse usage of the two payment methods by consumers separately. Since January 2020, every bank-issued payment terminal in the UK has been capable of accepting contactless payments. Along with many smaller businesses now accepting card payments, this has increased the number of locations where consumers can pay using contactless.

39%

39% of all payments in the UK were made via contactless methods in 2025

Mobile payment services, such as Apple Pay and Google Pay

As well as using contactless cards, other devices such as mobile phones and smart watches can be used to initiate contactless payments, and the virtual wallets that power these devices can also be used to make payments for online shopping.

In 2025, approximately 37.6 million consumers, more than six in ten in the adult population, were registered to use at least one mobile wallet service and 58% used mobile payments to purchase goods or services at least once a month.

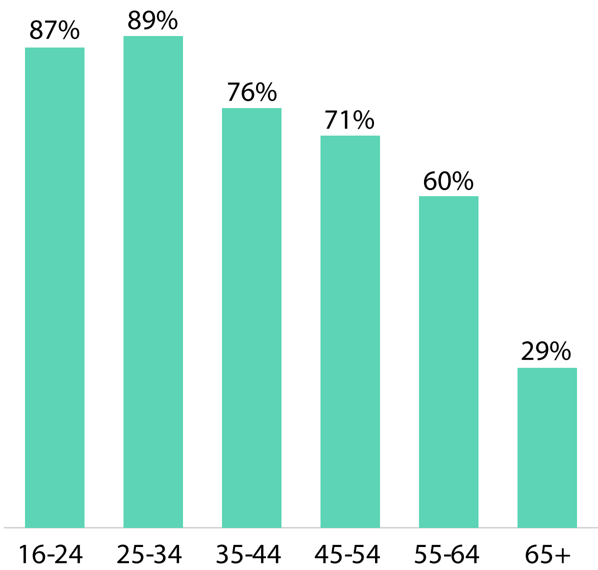
58%

58% of UK adults now use mobile contactless payments regularly

Similar to most new technological innovations, UK Finance market research found that younger people are more likely than older people to use mobile payments services such as Apple Pay or Google Pay. We expect that, over the next decade, older age groups will start to catch up with younger cohorts in terms of adoption of mobile payments.

Chart 1.2

Proportion of each age group registered to use mobile payments, 2025



Cash

Percentage of all payments made via cash

45%	17%	8%
2015	2020	2025

Cash payments have been showing a long-term decline, with payments migrating away to debit cards in general and contactless payments in particular.

Even though cash payments have been declining over the past two decades, a new threshold was reached in 2024 when cash stopped being the second most used payment method in the UK and fell behind Direct Debits, Faster Payments and credit cards. This relatively new position as only the fifth most used payment method continued in 2025.

During 2025, the number of cash payments in the UK fell to 3.9 billion payments, down from 4.3 billion payments in 2024. The proportion of payments made using cash fell to only 8% of all payments. Most cash payments (3.8 billion) in the UK were made by consumers. However, whilst overall the use of cash declined, it is important to note that this is not the experience of all consumers, and for some the use of cash continues to be an important element of how they manage their finances.

Over the next decade the number of cash payments in the UK is expected to continue the long-run declining trend seen over the last couple of decades, as consumers continue to turn to alternative payment methods. Having said this, the rate of decline has slowed as use becomes concentrated amongst people who have a strong preference for cash and in situations where cash has advantages over other payment methods. Over the next ten years, the decline is expected to be far smaller than that seen over the past decade.

In 2035 there are forecast to be around 2.1 billion cash payments made in the UK, accounting for around 4% of all payments. Rather than the UK becoming a cash-free society over the next decade, the UK will transition to an economy where cash is less important than it once was but remains widely valued and still preferred by some.

Buy Now Pay Later

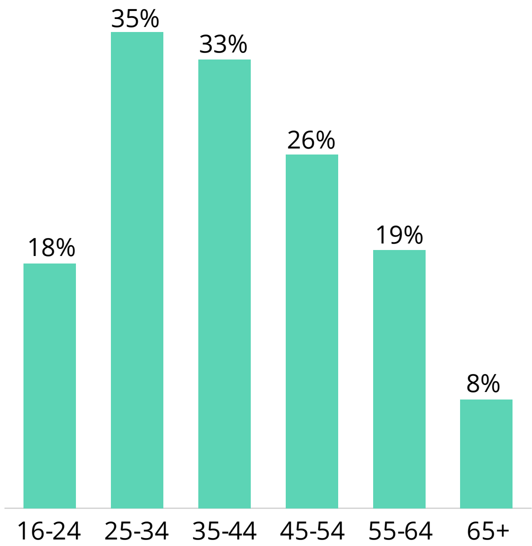
1 in 5

Around 1 in 5 people used Buy Now Pay Later in 2025

Around one in five people in the UK (22% of adults) used Buy Now Pay Later services to make a purchase during 2025. While the overall number of BNPL users did not increase in 2025, there was an increase in the frequency of use by those who adopted this payment method as 42% used the service monthly or more often, compared with 33% in 2024. Young consumers tend to use BNPL services more than older cohorts and the age group with the largest share of BNPL users in 2025 was 25- to 34-year-olds. In this age group 35% used Buy Now Pay Later services during 2025. In contrast, just 8% of people aged 65 or over used these services.

Chart 1.3

Proportion in each age group using BNPL services at least once in 2025



Direct Debit

5 billion

Volume of direct debit payments in 2025

In 2025 there were 5 billion payments made by Direct Debit, with an overall value of £1.5 billion. Direct Debit is a familiar, long established and widely trusted method for paying regular bills and is used by consumers to make around 7 out of 10 of all regular bill payments.

As a well-established method of payment, growth in Direct Debit payment volumes tends to reflect growth in population and number of households. Consumers are far more likely to use Direct Debit than businesses. Businesses tend to prefer to retain more direct control over the timing and amount of their outgoing payments, although some may still use Direct Debits to pay for business-critical services. Direct Debit payment volumes tend to be linked to some extent to the economic cycle and consumer confidence.

Due to the established nature of Direct Debit, there is expected to be slow and stable growth over the next decade, with 5.4 billion payments forecast in 2035.

Faster Payments and other remote banking

Number of payments made via Faster Payments and other remote banking

1.1 billion	3.0 billion	6.2 billion
2015	2020	2025

Remote banking remained popular in the UK in 2025, with 91% of all UK adults using at least one form of remote banking (online banking via a computer, mobile banking via an app on a smartphone or tablet, or calling their bank via a telephone banking service).

Within remote banking, mobile banking is now the main form of access to banking services with 75% of UK adults being users. Some consumers use a combination of different remote banking services, whilst others tend to stick more to their preferred option which increasingly has become mobile banking.

75%

75% of all adults used mobile banking in 2025

Related to the ongoing popularity of remote banking services in the UK, the number of remote banking payments processed via the Faster Payments Service (or cleared in-house by banks) during 2025 continued to grow overall especially due to increase in Faster Payments made by businesses. The number of payments increased by 10% compared with the previous year, to reach 6.2 billion payments.

Use of Faster Payments and other remote banking is expected to see strong growth over the next decade as both consumers and businesses increase their use of online and mobile banking and the industry implements the NPV which promotes significant improvements to the infrastructure for account-to-account payments. In our conservative forecast, by 2035 remote banking payments processed via the Faster Payments Service or cleared in-house are forecast to rise to 8.4 billion payments.

Standing orders

Standing orders tend to be used in circumstances where a regular payment of a fixed amount must be made, for example, for paying rent or making regular transfer payments from current accounts to savings accounts. In 2025 there were 551 million standing orders, a small decline from the previous year. This is expected to grow to 586 million payments in 2035.

Bacs Direct Credit

1.8 billion

There were 1.8 billion Bacs Direct Credit payments in 2025

Bacs Direct Credit is a popular and cost-effective method for businesses and government to make bulk payments, where both the value and timing of the payment are known in advance. For example, Bacs Direct Credit is a very popular method for paying wages and salaries. The government also uses Bacs Direct Credit to pay nearly all state benefits and pensions in the UK. More than a fifth (23%) of all payments made by businesses in 2025 were made via Bacs Direct Credit, placing Bacs Direct Credit as the second most frequently used payment method amongst businesses. That said, there is a long run trend away from Bacs Direct Credit. For comparison, a decade ago in 2015, 56% of all business payments were Bacs Direct Credit.

The total number of Bacs Direct Credit payments is expected to stay stable over the next ten years, with reductions due to the transition of certain welfare benefits to Universal Credit balanced off against an expected increase in use by larger businesses. There are forecast to be 2.2 billion Bacs Direct Credit payments in 2035.

CHAPS

0.1%

In 2025 CHAPS accounted for 0.1% of the number of payments in the UK

CHAPS is used primarily by financial institutions to make wholesale financial payments and by large corporates to make corporate treasury payments. As a result, in 2025 CHAPS accounted for just 0.1% of the total volume of payments in the UK. There were 53.3 million CHAPS payments processed in 2025, worth a total of £93.9 trillion. CHAPS payment volumes are closely related to the state of the UK economy. As such, future CHAPS payment volumes will depend largely on the economic outlook for the UK, the housing market, and the future of cross-border trade and investment.

Cheques

Cheques used to make payments (millions)

2015	2020	2025
546	185	77

The number of cheques used to make payments continued to decline over the past year, falling by 16% compared with 2024 to reach a total of 77 million cheques. Both businesses and consumers continue to choose alternative payment methods instead of using cheques. Cards and remote banking transfers, in particular, are increasingly being used where previously a cheque may have been written. Despite this decline cheques remain valued by those who choose to use them, as they provide a convenient and secure method of paying someone when you do not know the recipient's bank account details.

Forecasts for payments in the UK to 2035

Over the last decade, a series of key payment trends have been observed in the UK:

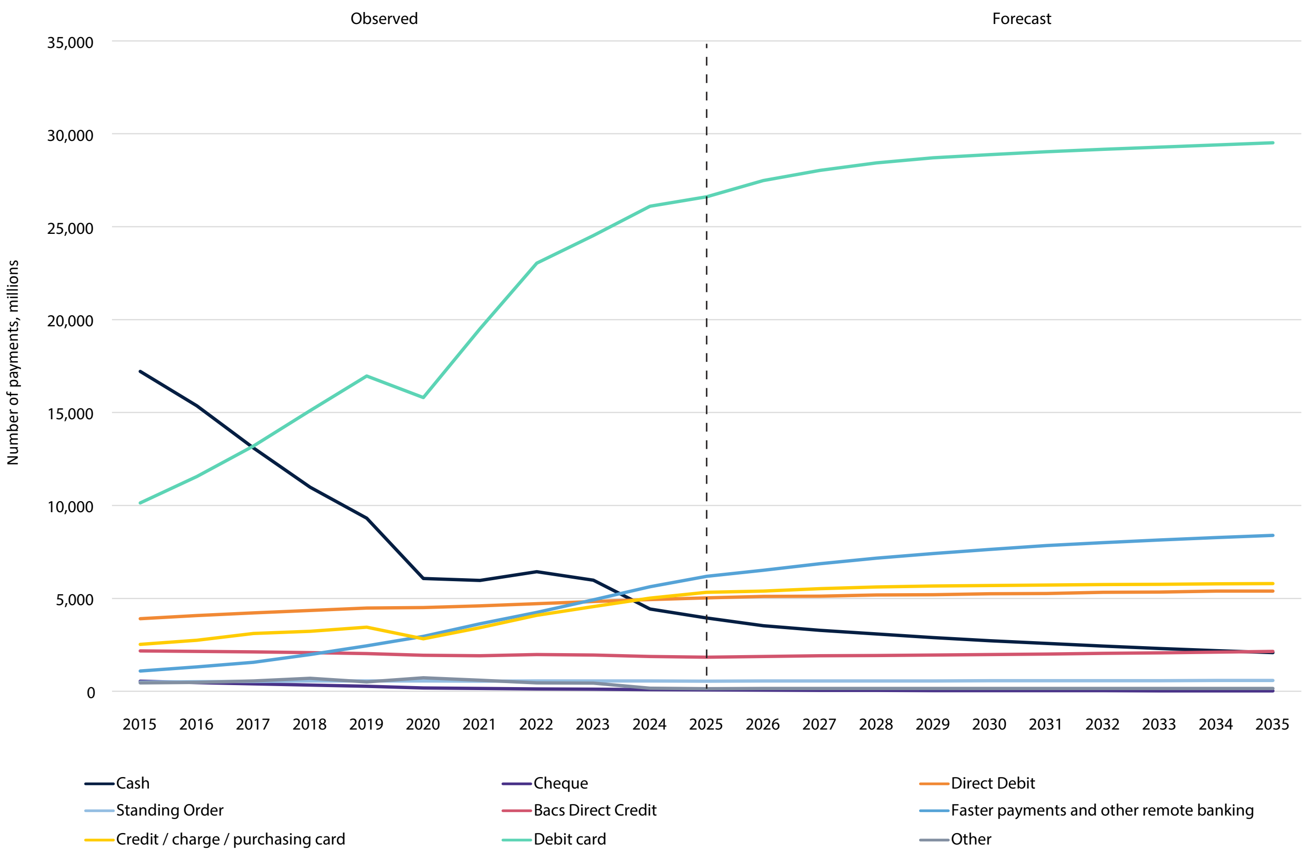
- Increasing debit card payments
- Continued decline in cash payments
- Ongoing growth in Faster Payments and other remote banking payments

These trends are expected to continue in the near future. In addition, we expect to see developments in Open Banking further boosting Faster Payments and mobile wallets increasingly replacing other forms of contactless payments.

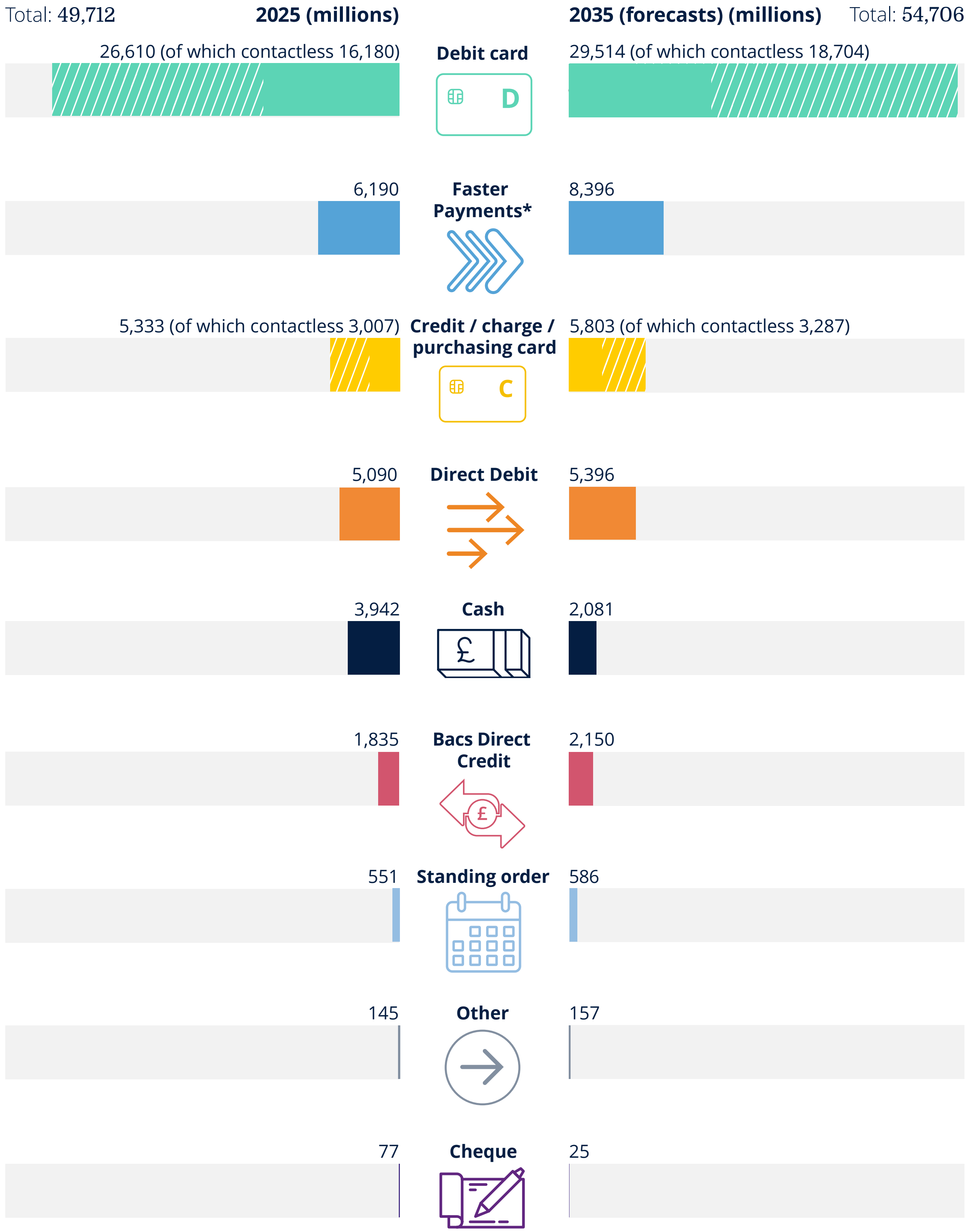
Our forecasts for development of payment volumes over the next ten years can be seen in the chart below.

Chart 1.4

Payment volumes (millions) 2015 to 2035



Total payment volumes in the UK (millions) 2025 vs 2035 forecasts (excluding CHAPS)



This summary document presents key findings from the UK Finance report “UK Payment Markets 2026”. The full report is available free of charge for members of UK Finance. It is also available for purchase by non-members. More details can be found at www.ukfinance.org.uk